was now having the opportunity of redeeming the honour of the country as the governor of the Reserve Bank. But redeeming the honour of the country, an unquestionably laudable objective, was not a consideration in the decision. The only consideration that informed my decision was financial prudence. This was exactly what I told the prime minister when, with glowing eyes, he complimented me generously after the deal went public.

Reserve managers invest in gold for the long term. Even so, I am only too conscious that should the price of gold drop significantly in the future from the purchase price of $1041.80 per troy ounce, the very same people who praised me would pan me. It is fortuitous that the price of gold has held so far!

What about the other irony that even as the Reserve Bank itself invested in gold, we preached to the public not to invest in it? Some context is necessary to appreciate this apparent contradiction.

As I wrote earlier, the allure of gold for Indians is legendary. We absorbed nearly a quarter of worldwide gold supplies in 2012. Changes in Indian demand, therefore, have a significant impact on the world price of gold. During 2011–13, our gold imports had increased abnormally, pushing the current account deficit beyond the sustainable limit. The Reserve Bank investigations revealed that the domestic demand for gold had gone up in part because people were investing in gold as a hedge against inflation, and in part because the secular increase in the world price of gold was encouraging speculators to invest in gold. It was inevitable that we had to restrain the import of gold as part of our overall strategy to manage the exchange rate during the taper tantrums in 2013, a topic I wrote about earlier. Yes, it was ironic that I bought gold myself but stopped others from doing so, but it was part of the dharma of the governor’s job.

Foreign Exchange Reserve Management

Although I have so far written only about gold, it is important to note that gold is only a small proportion of our foreign exchange reserves. The bulk of the reserves is foreign currency which the Reserve Bank invests as